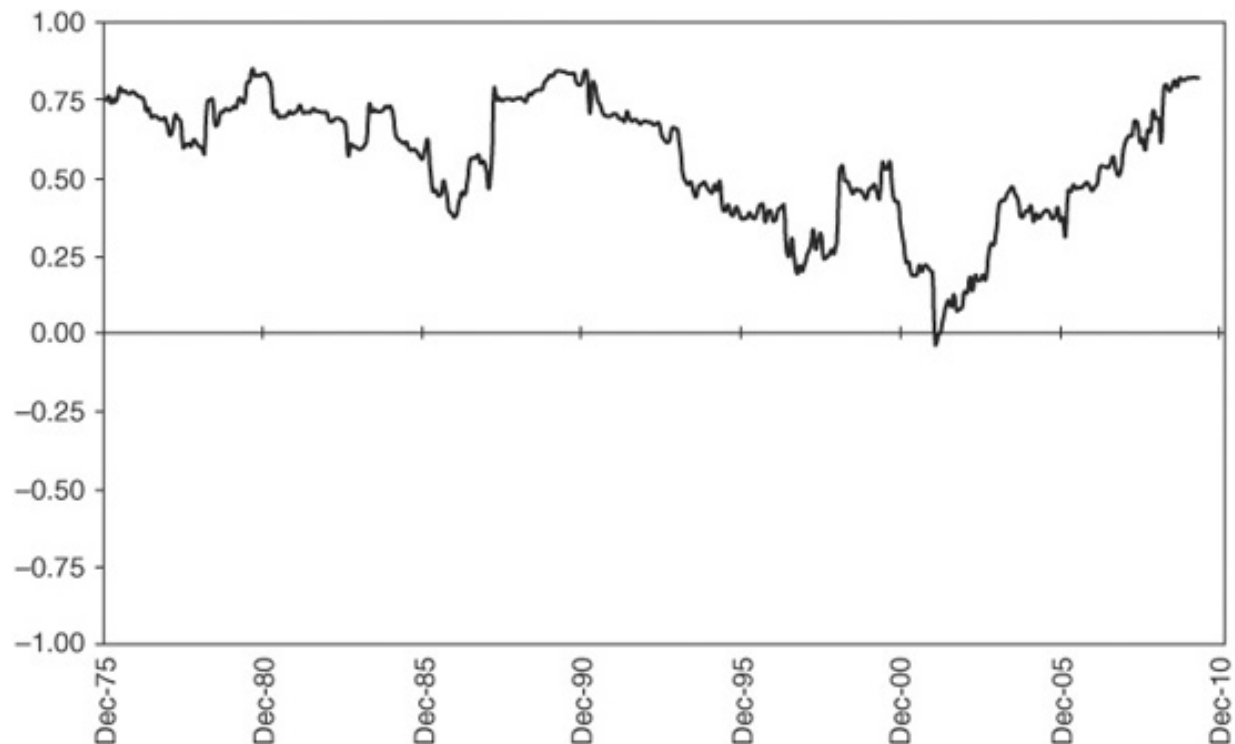


Rolling 36-Month Correlation between the NAREIT Equity Index and the CRSP Total U.S. Stock Index



The varying correlation between REITs and the rest of the stock market has created a diversification opportunity for investors. [Figure 9-5](#) represents the risk-and-return frontier that was created by adding REITs to a U.S. equity portfolio.

The risk and return on REITs and the U.S. market is close to the same. However, there has been a strong diversification benefit to owning REITs because of the varying correlation shown in [Figure 9-4](#). Although the figure shows an efficient allocation of 40 percent in REITs and 60 percent in common stocks, I do not recommend putting more than 10 percent of your equity in REITs because REITs represent a narrow market sector, and there are a limited number of holdings available. Only about 100 REITs trade on U.S. exchanges.

The Wilshire REIT Index is similar to the NAREIT Index in that it represents all publicly traded equity REITs. The difference between the two indexes is that Wilshire began its index in 1987, and it did not include hospital or health-care facilities until 2002.

FIGURE 9-5